

EXAM 7 – SPRING 2015

28. (1 point)

a. (0.5 point)

Contrast operational risk with strategic risk.

b. (0.5 point)

Identify two strategic risks to which an insurance company is exposed.

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EXAM 7 SPRING 2015 SAMPLE ANSWERS AND EXAMINERS' REPORT

QUESTION 28	
TOTAL POINT VALUE: 1	LEARNING OBJECTIVE: C7: Describe operational risk and demonstrate possible mitigation and quantification methodology. C8: Evaluate best practices in risk measurement, modeling, and management of various financial and non-financial risks faced by an entity.
SAMPLE ANSWERS	
Part a: 0.5 point	
<i>Sample Answer 1</i> Operational risk is the risk of loss from failed or inadequate internal systems, processes, or people, or from external events. It includes legal risk but excludes strategic or reputational risk. Strategic risk is risk of loss from making right or wrong strategic decisions. Operational risk is risk of loss from failure in executing the company's business strategy and operations. Strategic risk is risk of loss from incorrectly selecting the wrong strategy to begin with. <i>Sample Answer 2</i> Operational risk is the risk of a failed execution while strategic risk is the risk of having a bad plan regardless of execution.	
Part b: 0.5 point	
<i>Sample Answer 1</i> Industry risk – includes capital intensiveness, overcapacity, commoditization, deregulation, and cycle volatility. These are all significant risks for an insurer. Competitor risk – Includes global rivals, gainers, and unique competitors. For an insurer, this includes aggressive or predatory pricing that drives market price levels down below adequate levels. <i>Sample Answer 2</i> Competitor risk, industry risk <i>Sample Answer 3</i> Stagnation → flat profits, declining volume Industry → capital intensity, regulation <i>Sample Answer 4</i> Loss of reputation, expanding in a territory without underwriting expertise	
EXAMINERS' REPORT	
Candidates were expected to know the definitions of operational and strategic risks and were expected to be able to contrast them. For the second part of the question, candidates were expected to identify at least two types of strategic risk.	

EXAM 7 SPRING 2015 SAMPLE ANSWERS AND EXAMINERS' REPORT

Candidates generally did very well. If a candidate lost any points for part a, it was related more to the definition of strategic risk than operational risk. Almost everyone was able to define operational risk correctly. For part b, some candidates listed operational risks when the question asked for strategic risks.

We note that while operational risk is clearly and consistently defined throughout the exam syllabus, the same is not true for strategic risk, which has multiple definitions across different papers. Any candidate response consistent with any of these definitions received credit.

Very few candidates left this question blank.

Part a

Candidates were expected to know the definitions of operational and strategic risks and how to contrast them.

Candidates who defined the two risks well without explicitly contrasting them earned full credit, as long as their definitions demonstrated competent knowledge of the two risk types. A candidate could also contrast the two risks with regards to a specific area and earn full credit this way.

Almost all candidates defined operational risks correctly. The candidates who lost points generally did not define strategic risk correctly or well enough.

Part b

Candidates were expected to identify at least two strategic risks. Candidates could simply list a strategic risk, for example brand risk or industry risk, to receive full credit. Candidates were not required to explain the risk in further detail, though many did. The most common error was to provide operational rather than strategic risks.